

Comparing the Benefits and Costs of Changing the Amount of Labor

To maximize profits, the firm should:	Increase employment if, for an additional worker	Decrease employment if, for the last worker employed
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Real terms

$$MPN > w$$

$$(MPN > W/P)$$

$$MPN < w$$

$$(MPN < W/P)$$

Nominal terms

$$P \times MPN > W$$

$$(MRPN > W)$$

$$P \times MPN < W$$

$$(MRPN < W)$$

MPN = marginal product of labor

P = price of output

$MRPN$ = marginal revenue product of labor = $P \times MPN$

W = nominal wage

w = real wage = W/P